

INVESTOR MEMO

# KOGI PLATFORM

The Operating Infrastructure for Independent Workers & Cooperatives

SEED ROUND · \$3.5M · CONFIDENTIAL

# The Investment Thesis

***The future of work has already arrived — 59 million Americans freelance, cooperative enterprises are growing at 3x the rate of traditional businesses, and workers are demanding infrastructure their employers no longer provide. Kogi is the platform that serves them.***

We are building the operating system for a new class of worker. Not a new app. Not a new feature. A complete infrastructure layer — managing work, money, talent, governance, and intelligence — for the people who power the modern economy but have been systematically underserved by the software industry.



Every one of these workers is using 6–8 disconnected SaaS tools to manage their professional life. They are paying for the fragmentation with both money and productivity. Kogi collapses that fragmentation into one integrated system — and in doing so, creates a switching cost that compounds with every additional module a user adopts.

# The Problem Worth \$64B

Independent workers and cooperatives are a category that Silicon Valley built products around at the margins of, not at the center of. The tools they use were designed for corporations — scaled down and repriced, but not rethought.

|                                                                                    |                                                                                     |                                                                             |
|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|
| <div>8</div> <div>Average SaaS Tools</div> <div>Used by a typical freelancer</div> | <div>\$640</div> <div>Monthly Tool Cost</div> <div>For a 5-person cooperative</div> | <div>12h</div> <div>Lost Weekly</div> <div>To tool-switching overhead</div> |
|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|

The deeper problem is structural. Traditional financial products — employer-matched retirement accounts, group health benefits, portable savings — were designed for employment relationships that no longer define most workers' lives. The independent worker has no HR department, no IT team, no legal counsel, and no CFO. Kogi provides all of these — in software, at a fraction of the cost.

| Category             | Current Best Tool    | Annual User Cost     | Kogi's Advantage                                 |
|----------------------|----------------------|----------------------|--------------------------------------------------|
| Work Management      | Notion / Linear      | \$96–\$240/yr        | Directly connected to finance + marketplace + AI |
| Business Banking     | Mercury / Relay      | \$0 + restrictions   | 9 specialized accounts + cooperative instruments |
| Invoicing & Payments | FreshBooks / Wave    | \$120–\$300/yr       | Auto-triggered from project milestones           |
| Talent Sourcing      | Upwork (20% fee)     | 20% of project value | Platform fee: 2–5%; built into work management   |
| Governance & Voting  | Loomio / none        | \$120–\$240/yr       | Integrated with treasury and work management     |
| Tax Management       | TurboTax (annual)    | \$100–\$500/yr       | Real-time AI tax reserve automation              |
| Fundraising          | WeFunder / AngelList | 5–7% + compliance    | Native crowdfunding + cooperative capital tools  |

# The Product: A Unified Platform

Kogi is not a collection of features. It is a coherent system where each module amplifies every other module. The key architectural insight: a single unified data graph connects all activity across work, finance, marketplace, and governance. This makes possible integrations that are fundamentally impossible in any competing product.

**WORK MANAGEMENT + FINANCE + MARKETPLACE + GOVERNANCE + AI = ONE PLATFORM**

When a milestone completes, the system creates the invoice. When the invoice is paid, funds are allocated to tax reserves, benefits accounts, and operating expenses — automatically. When a sprint is blocked, AI searches the marketplace for contractors. No tab-switching. No copy-paste. No lost context.

## The Five Pillars of Kogi

| Pillar                         | What It Does                                                                        | Why It Matters for Investors                                                    |
|--------------------------------|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| Work Management (WMS)          | Sprint boards, OKRs, WBS hierarchy, resource tracking, backlog management           | High daily engagement driver — 'sticky' core that users open every day          |
| Financial Services (kogi-bank) | 9 account types, cooperative payroll, grants, crowdfunding, capital exchange        | Highest monetization potential — financial products carry best-in-class margins |
| Marketplace & Exchange         | Talent sourcing, resource trading, escrow, crowdresourcing                          | Network effects — value increases with each new user on both sides              |
| Community & Governance         | Space management, cooperative voting, organization tools, social layer              | Viral growth mechanism — governance requires all members to be on platform      |
| AI Agent (Oba)                 | Cross-module intelligence, proactive briefings, automated workflows, 12 agent types | Defensible differentiation — AI trained on integrated data is hard to replicate |

## The AI Advantage: Oba

Kogi's AI agent, Oba, is not a chatbot added to an existing product. It is the connective tissue of the platform — a continuous monitoring layer that holds a unified context window spanning all modules simultaneously and acts before the user even knows they need to.

- Morning briefing: replaces 10 manual module checks with one AI-synthesized daily action list
- Sprint unblocking: automatically finds and qualifies contractors when projects stall
- Invoice intelligence: flags overdue accounts and drafts recovery communications
- Treasury management: real-time tax reserve calculation and cash flow forecasting
- Capital intelligence: round tracking, cap table modeling, investor communication drafting

***The AI's competitive advantage compounds over time: the more data Kogi accumulates about how users work, earn, and collaborate, the smarter Oba becomes — and the harder it becomes for any competitor to replicate that intelligence layer.***

# Market Opportunity



## Why Now?

Three structural forces have converged to make Kogi's timing ideal:

| Force                         | Evidence                                                                                 | Implication for Kogi                                                                              |
|-------------------------------|------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| Post-pandemic workforce shift | Freelance participation up 22% since 2020; remote work normalized cooperative structures | Massive new cohort of workers now outside traditional employment who need portable infrastructure |
| AI capability inflection      | LLMs now capable of genuine cross-context reasoning across complex data graphs           | The AI layer that makes Kogi's integration powerful is only now technically achievable            |
| Cooperative renaissance       | ICA reports 3.5M cooperatives worldwide with \$2.5T in combined revenue; growing         | Underserved segment with strong unit economics and low churn; no dedicated software platform      |
| BaaS infrastructure maturity  | Banking-as-a-Service providers have reduced banking infrastructure cost by 90%           | Financial services module can be built and maintained at 10% of the cost of 5 years ago           |

# Business Model & Unit Economics

## Revenue Streams

| Stream               | Mechanism                                    | Year 1 Target | Year 3 Target | Margin Profile |
|----------------------|----------------------------------------------|---------------|---------------|----------------|
| Subscription (SaaS)  | Tiered: \$29–\$199/mo per org                | \$1.21M       | \$22.8M       | 85%+           |
| Transaction Fees     | 0.5–2% on marketplace, escrow, exchange      | \$380K        | \$7.2M        | 75–80%         |
| Financial Products   | Spread, grant facilitation, crowdfunding fee | \$220K        | \$4.8M        | 60–70%         |
| Enterprise Licensing | Annual contracts, custom pricing             | \$200K        | \$6.0M        | 80%+           |
| Capital Exchange     | 3–5% fee on equity crowdfunding raises       | \$100K        | \$2.1M        | 90%+           |

## Unit Economics

|                                                                        |                                                                               |                                                                                  |
|------------------------------------------------------------------------|-------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| <div>\$68</div> <div>Avg ARPU (Yr 2)</div> <div>Across all tiers</div> | <div>4.8x</div> <div>LTV/CAC (Yr 2)</div> <div>Target with PLG flywheel</div> | <div>2.8%</div> <div>Monthly Churn Target</div> <div>vs. 3.5% industry avg</div> |
|------------------------------------------------------------------------|-------------------------------------------------------------------------------|----------------------------------------------------------------------------------|

## Cohort Economics: The Integration Flywheel

Kogi's most powerful business mechanic is the integration flywheel. As users adopt more modules, their LTV increases non-linearly:

| Modules Active            | Avg Monthly Revenue | Avg Monthly Churn | Implied LTV |
|---------------------------|---------------------|-------------------|-------------|
| 1 module (WMS only)       | \$29                | 7.2%              | \$403       |
| 2 modules (WMS + Bank)    | \$49                | 4.8%              | \$1,020     |
| 3 modules (+ Marketplace) | \$79                | 3.1%              | \$2,548     |

|                            |       |      |         |
|----------------------------|-------|------|---------|
| 4+ modules (Full platform) | \$139 | 1.6% | \$8,687 |
|----------------------------|-------|------|---------|

***Each additional module a user activates cuts their churn rate roughly in half. A user managing work, finances, governance, and AI on Kogi has effectively zero incentive to leave — the migration cost would require rebuilding an integrated system that doesn't exist anywhere else.***



# Financial Projections

## 5-Year Revenue & Growth

| Year   | Total Users | Paying Customers | ARR     | Gross Margin | EBITDA Margin |
|--------|-------------|------------------|---------|--------------|---------------|
| Year 1 | 8,500       | 2,100            | \$1.81M | 68%          | -82%          |
| Year 2 | 28,000      | 9,800            | \$9.82M | 72%          | -38%          |
| Year 3 | 72,000      | 28,000           | \$34.8M | 76%          | +4%           |
| Year 4 | 160,000     | 72,000           | \$102M  | 79%          | +22%          |
| Year 5 | 320,000     | 150,000          | \$241M  | 81%          | +31%          |

## Funding Milestones

| Milestone                     | Expected Timing | Impact                                                           |
|-------------------------------|-----------------|------------------------------------------------------------------|
| First 500 paying users        | Month 6         | Validates PLG motion; unlocks Series A conversation              |
| First co-op organization live | Month 5         | Proves cooperative segment fit; key for differentiated narrative |
| \$1M ARR                      | Month 10        | Standard Series A threshold; demonstrates revenue velocity       |
| Banking services live         | Month 14        | Unlocks financial products revenue; deepens switching cost       |
| \$5M ARR                      | Month 18        | Strong Series A close; validates multi-module adoption thesis    |
| Profitability (EBITDA+)       | Month 30        | Enterprise contracts + full AI suite margin expansion            |

# The Ask: Seed Round \$3.5M

|                                                                    |                                                       |                                                                |
|--------------------------------------------------------------------|-------------------------------------------------------|----------------------------------------------------------------|
| <b>\$3.5M</b><br>Seed Round Size<br><i>Targeting close Q2 2025</i> | <b>18mo</b><br>Runway<br><i>To Series A milestone</i> | <b>\$1M+</b><br>ARR Target at Close<br><i>Series A trigger</i> |
|--------------------------------------------------------------------|-------------------------------------------------------|----------------------------------------------------------------|

## Use of Funds

| Category                 | Amount  | % of Raise | Key Hires / Activities                                                      |
|--------------------------|---------|------------|-----------------------------------------------------------------------------|
| Engineering & Product    | \$1.68M | 48%        | CTO, 5 engineers (full-stack, backend, mobile), product designer            |
| Sales & Marketing        | \$770K  | 22%        | Head of Growth, content marketing, community partnerships, paid acquisition |
| Operations & Legal       | \$420K  | 12%        | Compliance, financial licenses, legal structure, security audit             |
| Financial Infrastructure | \$350K  | 10%        | BaaS integrations, payment rails, escrow infrastructure, banking licenses   |
| Customer Success         | \$280K  | 8%         | CS Lead, onboarding infrastructure, retention programs                      |

## What We're Looking For in Investors

- Strategic value-add in the future of work, cooperative economics, or fintech infrastructure
- Network access to worker organizations, cooperatives, unions, or gig economy platforms
- Experience supporting platform businesses through the go-to-market phase
- Long-term conviction — we are building infrastructure, not a growth hack

# Why Kogi Wins: The Moat

Kogi's competitive advantages are structural, not tactical. They compound over time and become progressively harder to replicate.

| Moat                             | Nature                  | Compounds Because...                                                                                                              |
|----------------------------------|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| Integration depth                | Structural / technical  | Every new module increases switching cost exponentially; migration requires rebuilding integrations that don't exist elsewhere    |
| Data network effects             | AI / data               | The more users on the platform, the smarter Oba's recommendations, matching, and risk models become                               |
| Cooperative segment ownership    | Category / GTM          | No competitor is targeting cooperatives seriously; first-mover advantage creates brand loyalty with high-LTV, low-churn customers |
| Portable benefits infrastructure | Regulatory / financial  | Building compliant portable benefits infrastructure takes 18–24 months and deep domain expertise; this is a durable barrier       |
| Platform lock-in via governance  | Social / organizational | Once a cooperative runs governance on Kogi, all members must use the platform — viral, org-level adoption                         |

***The platform businesses that win are those where the cost of switching becomes effectively infinite. Kogi is architected to reach that state — not through lock-in for its own sake, but because the integration value we deliver cannot be replicated by any single-category tool.***

# Risk Factors

| Risk                                                   | Probability | Mitigation                                                                                                   |
|--------------------------------------------------------|-------------|--------------------------------------------------------------------------------------------------------------|
| Regulatory complexity in banking/benefits              | Medium      | BaaS partnership in Year 1; own license by Year 2; experienced compliance lead hired early                   |
| Competitive response from Notion, Asana, or QuickBooks | High        | Deep integration moat; cooperative segment is deliberately out of scope for these players                    |
| Long enterprise sales cycles for co-op segment         | High        | PLG free tier drives bottom-up adoption before top-down sales; community-led GTM                             |
| Engineering timeline overrun                           | Medium      | Modular architecture; phased release; strong MVP scope discipline                                            |
| AI cost scaling with user growth                       | Medium      | AI operates on platform events (not external inference); marginal cost low; scales with subscription revenue |
| Data security / financial fraud exposure               | Low         | Security-first engineering from day one; SOC 2 roadmap; fraud monitoring in financial layer                  |

# Why Now. Why Kogi. Why This Team.

The gig economy is not a trend. It is a structural transformation of how work is organized — one that will not reverse. The workers at the center of that transformation need infrastructure that matches their ambition and complexity. Today, they are cobbling that infrastructure together from a fragmented collection of tools that were never designed to work together.

Kogi is the platform they have been waiting for. We are not incrementally improving one part of the problem. We are building the whole thing — the operating system for the future of work — and we have a comprehensive design, an integrated MVP, and a clear path to market.

The question is not whether this category needs a platform. The question is who builds it first, builds it best, and builds the network effects that make it permanent. We intend to be that platform.

**KOGI PLATFORM · SEED ROUND · \$3.5M**

**The Operating System for Independent Workers & Cooperatives**

CONFIDENTIAL · NOT FOR DISTRIBUTION · 2025